Sweet Potato Aggregation Business Plan

Prepared for: Grainy Palace Farm Limited

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Business scope: Smallholder sourcing, aggregation and delivery of fresh sweet potato roots in Ghana

Recommendation

Launch a small, buyer-led sweet potato aggregation service. Secure a sweet-potato-specific buyer order and quality specification before assembling produce. The existing cocoyam off-take agreement does not establish demand for sweet potato; obtain a separate written commitment or purchase order. Begin with quick-turn, pre-sold lots and increase supply only after actual accepted weight, rejection, transport cost and cash settlement are known.

Sweet potato buyers may include fresh produce wholesalers, retailers, food vendors and processors, but the company has not yet confirmed any of these as customers. Ghana studies describe a largely fresh-produce trade involving farmers, traders, processors and urban buyers, alongside concerns about market information, transport, storage and post-harvest losses. These issues make confirmed orders and rapid delivery central to the operating plan. Ghana sweet potato value-chain study, KNUST risk and constraints study.

Business concept

Grainy Palace Farms will coordinate harvest-ready roots from smallholders, sort and grade them to a named buyer's specification, consolidate them into wholesale lots, and arrange timely delivery. The company's gross trading margin is the buyer proceeds for accepted roots less farmer purchases, harvesting/loading, sorting, packaging, transport, losses, handling and financing costs.

The aggregation offer is planned volume, consistent sorting, transparent weights, traceable farmer lots and dependable delivery. A processor order may require a different variety, size range or root condition from a fresh-market order. Keep channels and specifications separate in procurement and records.

Product and market requirements

Before procurement, confirm whether the buyer wants white-fleshed, orange-fleshed or another specified type; root size range; shape and skin condition; maturity; allowable cuts, cracks, pest damage or soil; washing or dry-cleaning requirements; packaging; weight basis; and delivery timing. Do not mix types or buyer grades in one lot unless the customer approves.

Sweet potato is a fresh root crop with handling and storage constraints. Research in Ghana records trader concerns about high transport costs, inadequate storage and post-harvest loss. A 2025 study in Volta Region also reports perishability, transport, price fluctuation and market access as challenges for both farmers and traders. Treat these as risks to manage, not as a quantified loss rate for this operation. KNUST risk and constraints study, 2025 Volta Region study.

Operating model

1. Obtain a written buyer order with type, grade, packaging, quantity, delivery location, price, acceptance rules and settlement date.

2. Map supplying farmers and collection points. Record root type/variety if known, estimated harvest date, likely volume, farm location and agreed pricing unit.

3. Schedule digging and collection to match the confirmed order and transport arrival. Avoid digging large volumes ahead of a buyer's confirmed call-off.

4. Sort gently at a shaded collection point; keep buyer grades and varieties separate. Record gross weight, accepted weight, damage, supplier, harvest date and price paid.

5. Use packaging and stacking approved by the buyer and suitable for the route. Do not assume that sacks, crates or loose bulk are interchangeable; confirm the buyer's required pack and loading method.

6. Deliver promptly, obtain signed receipt and accepted weights, invoice promptly, and reconcile rejected product to the agreed grading standard.

7. Pay farmers on clear terms and maintain enough liquidity for collection and transport while receivables are unpaid.

Start with low-cost sorting, weighing and shade. Do not invest in cold storage, a processing line or a large warehouse until a buyer has confirmed demand for that capability and the business has measured the required throughput.

Phased launch

Phase	Actions	Gate to advance
Confirm market	Identify fresh-market and processor prospects, verify demand, collect written specifications and compare price/payment terms.	A crop-specific order with acceptable contribution after realistic grading, packing and transport.
Trial collection	Assemble small lots against orders, test the packaging/transport route, and track damage, accepted weight and elapsed time.	Positive delivered margin and manageable rejection and cash delay.
Repeat supply	Develop a regular farmer/collection schedule around orders and harvest readiness; add a second channel for grades the first buyer does not accept only if pre-agreed.	Several reconciled profitable cycles and a funded next-cycle cash plan.
Add value only when contracted	Evaluate washing, grading equipment, processing or longer storage only against a written buyer requirement and a separate investment case.	Verified demand, throughput, operating cost and recovery period.

Budget and funding plan

Use the companion sweet potato Excel budget for monthly tonnes, purchase and sale price per tonne, expected rejection/loss, harvest/loading, sorting/packaging and transport costs, other direct costs, overhead, setup costs, buyer advance/payment days and owner capital. The workbook calculates annual contribution, estimated working capital and the funding gap. No local prices, yields, loss rates or costs have been fabricated.

Prioritize buyer deposits or advances; buyer-arranged collection/transport; short supplier/logistics terms aligned to buyer payment; and then short-tenor purchase-order or receivables finance backed by orders and accepted deliveries. Do not use long-term borrowing to accumulate roots without confirmed demand. Protect farmer-payment cash from setup and overhead spending.

The working-capital estimate assumes orders are spread through the month and uses monthly net outflow and buyer payment days. Replace it with an actual weekly or delivery-based cash calendar once supplier payment rules, harvest schedule and buyer settlement performance are known. The budget excludes sweet potato cultivation and processing.

Key risks and controls

Risk	Control
Buyer interest confused with a binding order	Require a crop-specific written purchase order, specification, price basis and settlement terms.
Root type or grade mismatch	Confirm type, size and acceptance standard; keep types and grades identified and separate.
Damage, dehydration, decay or delayed delivery	Harvest against orders, shade and ventilate collection, use approved packaging and move roots promptly.
Low farm-gate price but poor delivered margin	Calculate total landed cost per accepted tonne, including grading loss and finance cost, before confirming a purchase.
Supply seasonality or farmer shortfall	Map more than one producing community, verify harvest readiness and schedule supply with farmers.

Risk	Control
Transport and packaging costs	Trial the route and package before scaling; quote costs per tonne and reconcile load weights.
Delayed buyer payment	Cap outstanding exposure, negotiate an advance, invoice promptly and align farmer terms to actual buyer settlement.
Unsold or downgraded roots	Buy to order and agree a secondary outlet in advance for any recoverable lower grade.

First 30 days

1. Confirm the buyer's sweet potato demand separately from cocoyam. Obtain type, grade, delivery, packaging, price, rejection and payment terms in writing.

2. Identify target sourcing districts and confirm current harvest windows, farmer groups and available types. Research identifies Upper East and Eastern Region supply in prior surveys; verify present supply and route economics before choosing a sourcing area. University for Development Studies transport/aggregation study.

3. Obtain farmer, harvest/loading, packaging, transport and market-charge quotations for the selected source-to-buyer route.

4. Trial a small buyer-approved lot. Weigh before and after sorting and delivery; record damage, rejection, turnaround time and all costs.

5. Enter verified terms into the separate sweet potato budget and review lower prices, higher loss and delayed payment before increasing procurement.

Information needed for a lender-ready forecast

- Sweet-potato-specific buyer order/contract, type, grade, packaging, monthly demand, price/unit, rejection procedure and payment days.
- Sourcing district, identified farmer suppliers, harvest calendar and expected tonnes by month.
- Current farm-gate purchase price and route-specific harvesting, sorting, packing, transport and market costs.
- Trial-lot accepted-weight and quality-loss data.
- Monthly overhead, one-time setup quotations, owner capital and proposed finance terms.
- Any secondary buyer or processor specification and confirmation that it will accept downgraded/alternate grades.

Sources and limits

Ghana value-chain studies cited here establish sector risks and market channels, not current quotes or guaranteed demand. Past research may not describe current local prices, varieties, supply volumes or handling infrastructure. Verify all commercial assumptions for the selected route and season. This plan covers fresh-root aggregation only and excludes cultivation and processing.